

The Strategy



The company reported that it managed to fetch \$595 per tonne of alumina it exported in 2024-25 against \$380 in the preceding year



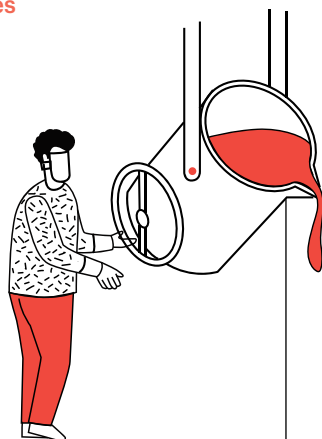
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The management estimates that it earned additional revenue of ₹2,000 crore due to higher alumina prices and ₹1,700 crore due to elevated spot rates on the LME



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Financials	FY24	FY25	Growth (%)
Gross Sales (In ₹crore)	13,149	16,788	27.7
Profit After Tax (In ₹crore)	1,988	5,325	167.8

Market Valuation	July '23-June '24	July '24-June '25	Change (%)
1-Year Average (In ₹crore)	23,960	35,863	49.7

Shareholding Pattern as of June 2025 (Stake in %)	
Promoters	51.28
FII's	15.06
DII's*	15.73

*INCLUDES MF AND INSURANCE COMPANIES; FINANCIALS ARE ON CONSOLIDATED BASIS **SOURCE** ACE EQUITY

Nalco chairman and managing director Brijendra Pratap Singh told analysts that the company was appointing a consultant for advice on entering the foil market. The foil making facility will require an investment of ₹150-200 crore.

The company recognises that moving up the value chain is critical to grow its profits in future and expand its presence in the domestic market, especially when commodity cycles are not favourable.

It is also cognisant of increasing competition in the global market from new smelters in Indonesia and India. "Last year, we sent 36 shipments. This year we are planning 41-42 shipments," Nalco's CMD said about the PSU's alumina exports.

Significant reduction in expenditure, by about ₹1,000-1,200 crore, also contributed to faster growth in profits in 2024-25. Nalco has been the lowest cost producer of bauxite and alumina for about eight years now. Still, it was able to drive down costs further during the last financial year on two counts—power and caustic soda.

OUTLOOK

About 70% of Nalco's production is in the form of ingots. The company has a blueprint to reduce that over the years and increase production of value-added products. Its domestic competitors Hindalco and Vedanta are also focussed on value-added products. A new smelter with production capacity of 0.5 million tonne, expected to be commissioned in about four years, will increase the company's ability to make value added products such as wire rods.

Axis Securities in a recent note said, "Nalco's timely expansion and ramp-up of the 5th stream alumina refinery with a one million tonnes per annum (MTPA) capacity by 2026-27 will be crucial."

A vision document on aluminium sector 2025, published recently by the Ministry of Mines estimates that domestic demand for the metal will rise from 4.9 million tonnes in 2023-24 to 8.5 million tonnes by 2029-30 and 28 million tonnes by 2046-47. Given that Nalco is looking to increase its presence in the domestic demand, these projections are promising for its growth. **BT**

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